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Course name – Understanding Business

Session 2

Types of Organisations

#ItAllAddsUp

Syllabus

- Introduction to Types of Organisations
- Structures of: Private limited companies, public limited companies, franchises, MNCs, public sector and third sector organisations
- Differences and similarities between them
- Activity: Mapping local or global examples into each category
- Conclusion to Types of Organisations

Introduction to Types of Organisations

- **Introduction to Types of Organisations**
- In any economy, people come together to achieve goals that cannot be accomplished individually. To coordinate their efforts, **organisations** are formed. An organisation is a structured group of people who work together to achieve common objectives, such as producing goods, offering services, or pursuing social goals. Organisations vary in their **size**, **ownership**, **purpose**, and **legal structure**, which leads to different types of organisational forms.
- Understanding the different types of organisations is essential because it helps us identify **how decisions are made**, **who has control**, **how profits are shared**, and **how responsibilities are distributed**. It also influences the organisation's **efficiency**, **growth potential**, **risk**, and **regulatory requirements**.
- Broadly, organisations can be classified into the following categories:
- **1. Private Sector Organisations**
- These are owned, controlled, and operated by private individuals or groups with the aim of earning profit.

Introduction to Types of Organisations

- **Examples:**
- **Sole Proprietorship**
- **Partnership Firm**
- **Private Limited Company**
- **Public Limited Company**
- **Cooperative Society**
- **Hindu Undivided Family (HUF)**
- **Key Features:** Profit motive, private ownership, competitive environment.
- **2. Public Sector Organisations**
- These are owned and managed by the government to provide essential services and promote public welfare.
- **Examples:**

Introduction to Types of Organisations

- **Departmental Undertakings**
- **Public Sector Undertakings (PSUs)**
- **Statutory Corporations**
- **Key Features:** Service motive, government control, large-scale operations.
- **3. Joint Sector Organisations**
- These organisations are owned and operated jointly by the **government and private individuals**.
- **Example:** Maruti Udyog (initially), Indian Oil-Adani Gas Joint Ventures.
- **Key Features:** Shared ownership, balanced managerial control, combination of public accountability and private efficiency.

Introduction to Types of Organisations

- **4. Non-Profit and Non-Governmental Organisations (NGOs)**
- These organisations focus on **service, welfare, and social development** rather than profit.
- **Examples:**
- Red Cross Society
- CRY (Child Rights and You)
- Akshaya Patra Foundation
- **Key Features:** Service motive, voluntary participation, donations and grants as funding.
- **Conclusion**
- Different types of organisations exist to meet different needs—profit generation, public service, or social welfare. Choosing the right type of organisation depends on factors like **capital requirement**, **risk-taking ability**, **ownership preferences**, and **long-term goals**. A clear understanding of organisational types helps in making informed business decisions and managing operations effectively.

Structures of: Private limited companies, public limited companies, franchises, MNCs, public sector and third sector organisations

- **1. Private Limited Companies (Pvt. Ltd.)**
- **Definition**
- A **Private Limited Company** is a business owned by a **small group of shareholders**, typically family members or close associates. It is registered under the **Companies Act** and has its own legal identity, separate from its owners.
- **Structure**
- Shareholders (Owners)

  ↓
- Board of Directors

  ↓
- Managing Director / CEO

  ↓

Structures of: Private limited companies, public limited companies, franchises, MNCs, public sector and third sector organisations

- Functional Managers (HR, Finance, Marketing, Operations)

  ↓

- Employees / Staff
- Key Structural Features

Feature	Description
Ownership	In the hands of **2 to 200 shareholders**
Share Transfer	**Restricted** – shares cannot be freely sold to public
Control	Frequent involvement of owners in decision-making
Liability	**Limited liability** (loss limited to share capital invested)
Secrecy of Accounts	Higher level of confidentiality

Structures of: Private limited companies, public limited companies, franchises, MNCs, public sector and third sector organisations

- **Advantages**
- Quick decision-making
- Flexibility in management
- Lower chances of takeover
- **Limitations**
- Limited access to capital
- Growth is slower than public companies
- **2. Public Limited Companies (Ltd.)**
- **Definition**
- A **Public Limited Company** sells its shares to the **general public** through the stock market. It is usually larger in size and more transparent.
- **Structure**

Structures of: Private limited companies, public limited companies, franchises, MNCs, public sector and third sector organisations

- Large Number of Shareholders (General Public)

  ↓

- Board of Directors (Elected by shareholders)

  ↓

- Managing Director / CEO

  ↓

- Departmental Heads (Finance, HR, Production, R&D etc.)

  ↓

- Large Workforce

Structures of: Private limited companies, public limited companies, franchises, MNCs, public sector and third sector organisations

- Key Structural Features

Feature	Description
Ownership	Thousands of shareholders
Share Transfer	**Free and open** trading
Control	Separation of ownership (shareholders) and management (board)
Disclosure	Must publish **annual financial reports**
Fundraising	Can raise **large capital** through IPOs and investors

Structures of: Private limited companies, public limited companies, franchises, MNCs, public sector and third sector organisations

- **Advantages**
- Faster expansion possibilities
- Better access to finance
- **Limitations**
- More government regulation
- Risk of takeover if shares are purchased by competitors
- **3. Franchises**
- **Definition**
- A **Franchise** is a business model in which one business owner (**Franchisor**) allows another party (**Franchisee**) to use its **brand name, products, and business systems** for a fee.
- **Structure**

Structures of: Private limited companies, public limited companies, franchises, MNCs, public sector and third sector organisations

- Franchisor (Parent Brand)

  ↓ Grants License & Business Model
- Franchisee (Local Business Owner)

  ↓ Operates Outlet / Service
- Staff / Employees
- **Examples:** McDonald's, Domino’s, KFC, Subway

Feature	Description
Ownership	Franchisee owns individual outlets
Brand Control	Franchisor controls product standards & branding
Fees	Franchisee pays franchise fee + royalty

Structures of: Private limited companies, public limited companies, franchises, MNCs, public sector and third sector organisations

- **Advantages**
- Franchisee receives ready-made business model
- Brand already has customer trust
- **Limitations**
- Less flexibility for franchisee
- Must follow strict brand rules
- **4. Multinational Corporations (MNCs)**
- **Definition**
- MNCs are large companies that **operate in multiple countries**, having **headquarters in one country** and **branches/subsidiaries in others**.
- **Structure**

Structures of: Private limited companies, public limited companies, franchises, MNCs, public sector and third sector organisations

- Headquarters (Home Country)

  ↓ Sets global strategy
- Regional / Continental Offices

  ↓ Adapt strategy to region
- Country Subsidiaries

  ↓
- Local Functional Divisions (HR, Finance, Marketing, Production)

  ↓
- Local Employees

Structures of: Private limited companies, public limited companies, franchises, MNCs, public sector and third sector organisations

- **Examples: Google, Toyota, Tata Group, Samsung**
- **Structural Features**

Feature	Description
Central Control	HQ controls major strategies
Local Adaptation	Branches modify products to suit local cultures
Large Workforce	Often in thousands or millions globally

- **Advantages**
- Economies of scale
- Global brand presence

Structures of: Private limited companies, public limited companies, franchises, MNCs, public sector and third sector organisations

- **Limitations**
- Cultural and legal differences across countries
- Risk of political instability
- **5. Public Sector Organisations**
- **Definition**
- Public Sector Organisations are **owned and managed by the government** to provide services that benefit society and economy.
- **Examples: Indian Railways, BSNL, ONGC, LIC**
- **Structure**
- Government / Ministry

  ↓

Structures of: Private limited companies, public limited companies, franchises, MNCs, public sector and third sector organisations

- Board of Governors or Government-appointed Directors

  ↓

- Managing Director / General Manager

  ↓

- Departmental Managers

  ↓

- Employees
- Structural Features

Feature	Description
Objective	Service & welfare, not profit
Control	Strong government regulation
Funding	Government budgets / public taxes

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Structures of: Private limited companies, public limited companies, franchises, MNCs, public sector and third sector organisations

- **Advantages**
- Ensures essential services reach all
- Stable employment opportunities
- **Limitations**
- Slower decision-making
- Sometimes less efficient due to bureaucracy
- **6. Third Sector Organisations (Non-Profit / NGOs / Charities)**
- **Definition**
- These are organisations that **work for social welfare**, not profit. They reinvest any surplus into the organisation's mission.
- **Structure**

Structures of: Private limited companies, public limited companies, franchises, MNCs, public sector and third sector organisations

- Governing Board / Trustees

  ↓

- Executive Director / Program Director

  ↓

- Project Managers / Volunteers

  ↓

- Beneficiaries (Communities in need)
- **Examples:** Red Cross, Akshaya Patra Foundation, HelpAge India

Feature	Description
Objective	Social cause, charitable impact
Funding	Donations, grants, sponsorships
Participation	Often volunteer-based

Structures of: Private limited companies, public limited companies, franchises, MNCs, public sector and third sector organisations

- **Advantages**
- Serve vulnerable communities
- Promote social justice
- **Limitations**
- Dependent on donations
- Limited scalability
- **Conclusion**
- Each organisational structure is designed to support **ownership style**, **control**, **purpose**, and **operational scale**. Understanding these structures helps in selecting the most suitable form for **business growth**, **social welfare**, or **public service**.

Structures of: Private limited companies, public limited companies, franchises, MNCs, public sector and third sector organisations

- **Case Study 1: Private Limited Company – *Sundaram Precision Tools Pvt. Ltd.* »**
- **Background**
- Sundaram Precision Tools Pvt. Ltd. is a **family-owned engineering component manufacturer** in Bengaluru. It is run by **three brothers**, who also act as directors. The company supplies machine parts to automobile companies on a contract basis.
- **Organisational Structure**
- Shareholders (Family Members)

  ↓
- Board of Directors

  ↓
- Managing Director (One Brother)

  ↓

Structures of: Private limited companies, public limited companies, franchises, MNCs, public sector and third sector organisations

- Functional Managers:
- - Production Manager
- - Finance Manager
- - HR Manager

  ↓
- Factory Supervisors & Workers
- **Key Characteristics**
- **Ownership & Control:** Restricted to family; no external shareholders.
- **Decision-Making:** Quick, informal, and centralized.
- **Share Transfer:** Shares cannot be sold outside without family approval.
- **Financial Disclosure:** Only limited reporting required.

Structures of: Private limited companies, public limited companies, franchises, MNCs, public sector and third sector organisations

- **Issue Faced**
- As demand increased, the company needed additional capital to expand factory capacity. However, because **new investors would require ownership**, the family hesitated to dilute control.
- **Outcome**
- The company **took a bank loan instead of issuing new shares**. This allowed expansion while maintaining family ownership.
- **Learning Point**
- Private Limited structure is **best for privacy and control**, but it **limits access to large capital**, affecting growth scale.
- **Case Study 2: Franchise Business – *Domino's Pizza Franchise in Mysuru* »**
- **Background**
- An entrepreneur named Rakesh purchased a **Domino's franchise license** to operate two outlets in Mysuru. He must follow Domino's **standard recipes, branding, and training programs**.

Structures of: Private limited companies, public limited companies, franchises, MNCs, public sector and third sector organisations

- **Organisational Structure**
- Domino’s Corporate Headquarters

  ↓ Provides Brand, Recipes, Training, and Marketing
- Franchise Owner (Rakesh)

  ↓ Manages Outlets and Daily Operations
- Outlet Managers

  ↓
- Service Staff, Chefs, Delivery Executives
- **Key Characteristics**
- Rakesh **does not own the brand** — only the right to operate under it.
- He pays **royalty fees** and a **percentage of monthly sales** to Domino’s.

Structures of: Private limited companies, public limited companies, franchises, MNCs, public sector and third sector organisations

- Domino’s controls **menu, pricing standards, packaging, uniforms**.
- **Issue Faced**
- Local customers preferred spicier pizzas. Rakesh tried to introduce variations, but the franchisor **disallowed menu changes**.
- **Outcome**
- Rakesh used **promotional combos** and **localized marketing campaigns** (which were allowed) to attract local buyers, without changing the product.
- **Learning Point**
- Franchises offer a **ready-made brand and business model**, but **limit creativity and flexibility**.
- **Case Study 3: Public Sector Organisation – *Indian Railways* »**
- **Background**

Structures of: Private limited companies, public limited companies, franchises, MNCs, public sector and third sector organisations

- Indian Railways is one of the world's largest railway networks, fully **owned and operated by the Government of India**. It plays a major role in **transporting millions of passengers and goods daily.**
- **Organisational Structure**
- Ministry of Railways (Government of India)

  ↓
- Railway Board (Policy & Planning)

  ↓
- Zonal Railway Offices (17 Zones)

  ↓
- Divisional Offices

  ↓
- Station Masters, Drivers, Engineers, Ticketing Staff, Maintenance Staff

Structures of: Private limited companies, public limited companies, franchises, MNCs, public sector and third sector organisations

- **Key Characteristics**
- **Goal:** Public service (not profit).
- **Funding:** Government allocation + revenue from tickets and freight.
- **Scale:** Over **1.3 million employees**.
- **Decision-making:** Often slower due to **bureaucratic procedures** and approval requirements.
- **Issue Faced**
- Train delays were becoming frequent due to old signaling systems. Modernizing required high cost and lengthy government approvals.
- **Outcome**
- The government launched a **National Railway Modernization Plan**, prioritizing:
- Digital signal systems

Structures of: Private limited companies, public limited companies, franchises, MNCs, public sector and third sector organisations

- High-speed rail corridors
- Improved passenger facilities
- **Learning Point**
- Public sector organisations ensure **nationwide service accessibility**, but **bureaucratic processes may slow efficiency and innovation**.

Differences and similarities between them

- ✅ **Similarities Between the Organisations**
- Although these organisations differ in structure and purpose, they share some common features:
- **1. They All Need People and Resources**
- Every organisation — whether private, public, franchise, MNC, or non-profit — uses **human resources, money, materials, and technology** to operate.
- **2. They Have Defined Goals**
- Private and Public Companies → aim for **profit**
- Public Sector → aims for **service**
- Third Sector → aims for **social welfare**
- MNCs and Franchises → aim for **profit + wider market reach**

Differences and similarities between them

- **3. They Follow Rules / Legal Registration**
- Each organisation must be **registered** and follow **laws** (Company Act, Co-operative Act, Charity laws, etc.)
- **4. They Use a Formal Organisational Structure**
- All organisations have:
- **Leaders / Managers**
- **Departments**
- **Employees / Workers**
- So, whether it’s **Infosys**, **Indian Railways**, or **Akshaya Patra**, **roles and responsibilities** are clearly defined.
- ✅ **Differences Between the Organisations (With Examples)**
- **1. Private Limited Company (Pvt. Ltd.)**
- **Explanation**

Differences and similarities between them

- Owned by a **few people** (usually family or close group). Shares **cannot be sold** to the public. Decision-making is **fast** and personal.
- **Example**
- Infosys (at its early stage) was a private company run by a small group of founders.

Feature	Description
Aim	Profit + Family control
Ownership	2 to 200 shareholders
Decision-making	Quick, internal
Funding	Limited, private

Differences and similarities between them

- **2. Public Limited Company (Ltd.)**
- **Explanation**
- Shares are openly **traded in the stock market**. Anyone can become a shareholder. Decisions are made by a **Board of Directors**, not individuals.
- **Example**
- **Reliance Industries Ltd.** — shares are available in the stock market.
- **Key Points**

Feature	Description
Aim	Large scale profit and expansion
Ownership	Thousands of shareholders
Decision-making	Formal and regulated
Funding	Very high (through IPOs)

Differences and similarities between them

- **3. Franchise**
- **Explanation**
- A **business model** where a **brand owner (franchisor)** allows another person (**franchisee**) to use their **brand name** and **business system**.
- **Example**
- **McDonald's restaurants** in different cities are owned by franchisees, but they **must follow McDonald's global standards**.
- **Key Points**

Feature	Description
Aim	Profitable business under a known brand
Ownership	Local owner runs outlet
Decision-making	Limited (brand rules must be followed)
Benefit	Low business risk

Differences and similarities between them

- **4. Multinational Corporation (MNC)**
- **Explanation**
- A company headquartered in **one country**, but operates in **many countries**. Strategy is **global**, but operations may be **localized**.
- **Example**
- **Samsung** (HQ in South Korea, factories and offices across the world).
- **Key Points**

Feature	Description
Aim	Global profit & market dominance
Ownership	International shareholders
Decision-making	Controlled by headquarters
Strength	Operates on a very large scale

Differences and similarities between them

- **5. Public Sector Organisation**
- **Explanation**
- Owned and operated by the **Government** to provide **services** and ensure **social welfare**, not just profit.
- **Example**
- **Indian Railways** — provides transport service across India at affordable prices.
- **Key Points**

Feature	Description
Aim	Public welfare & national development
Ownership	Government
Decision-making	Bureaucratic (slow but regulated)
Advantage	Provides essential services to all

Differences and similarities between them

- **6. Third Sector Organisation (Non-Profit / NGO)**
- **Explanation**
- Works for **charity, development, and social causes**. Does **not distribute profit** — any extra money is used for further welfare.
- **Example**
- **Akshaya Patra Foundation** — provides mid-day meals to school children.
- **Key Points**

Feature	Description
Aim	Social welfare, not profit
Ownership	Board of Trustees / Volunteers
Funding	Donations, grants, sponsorships
Nature	Mission-driven

Differences and similarities between them

- 🎯 **One-Line Summary of Each**

Organisation Type	Purpose	Example
Private Ltd	Profit with close control	Sundaram Motors Pvt. Ltd.
Public Ltd	Profit with public investment	Reliance Industries Ltd.
Franchise	Profit under a brand system	KFC Franchise outlets
MNC	Global business expansion	Toyota, Google
Public Sector	Public welfare & services	BSNL, LIC
Third Sector	Social service & charity	Red Cross, Akshaya Patra

- **Case Study: The Healthcare Service Expansion in Bengaluru**
- The Government of Karnataka identified the need to expand **healthcare services** in Bengaluru due to increasing population and pressure on public hospitals. To achieve this, **different types of organisations participated**, each contributing in **different ways** based on their **structure, purpose, and operational strengths**.

Differences and similarities between them

- Organisations Involved

Organisation Type	Name Used in Case	Role Played
Private Limited Company	*MedLife Diagnostics Pvt. Ltd.*	Provided diagnostic testing services using modern machinery.
Public Limited Company	*Apollo Hospitals Ltd.*	Set up large multi-specialty hospital facilities.
Franchise	*Dr. Lal PathLabs Outlet Franchise*	Opened multiple collection centers in residential areas.
MNC	*Pfizer (USA)*	Supplied imported high-quality vaccines and medical technology.
Public Sector Organisation	*ESIC (Employees' State Insurance Corporation)*	Offered subsidized treatment for government & industrial workers.
Third Sector Organisation (NGO)	*Akshaya Seva Trust*	Organized medical camps and awareness programs for low-income groups.

Differences and similarities between them

- **How Each Organisation Operated in the Project**
- **1. MedLife Diagnostics Pvt. Ltd. (Private Ltd)**
- Owned by a small group of investors.
- Used **quick decision-making** to purchase diagnostic equipment rapidly.
- Operated efficiently, but growth was limited to **available private capital**.
- **Strength:** Fast decisions
  Limitation: Limited expansion capacity
- **2. Apollo Hospitals Ltd. (Public Ltd)**
- Raised **large capital investment** through public shareholders.
- Constructed a **100-bed hospital** within the project region.
- Had to **publicly disclose expenses and outcomes**, ensuring transparency.

Differences and similarities between them

- **Strength:** Large-scale expansion possible
- **Limitation:** Decision-making is slower due to board approvals
- **3. Dr. Lal PathLabs Franchise**
- A local entrepreneur bought **franchise rights**.
- Used brand reputation and standard testing methods.
- Had to **follow strict operational guidelines** from headquarters.
- **Strength:** Lower risk due to an established brand
- **Limitation:** Less freedom in service style and pricing
- **4. Pfizer (MNC)**
- Coordinated from **USA headquarters**.
- Shipped specialized vaccines and trained local doctors.

Differences and similarities between them

- Had to **comply with Indian and international drug regulations**.
- **Strength:** Advanced global knowledge and technology**Limitation:** Complex legal compliance in multiple countries
- **5. ESIC Hospitals (Public Sector)**
- Government-funded and **low-cost healthcare services** for workers.
- Faced **bureaucratic delays** in facility upgrade approvals.
- **Strength:** Accessible and affordable healthcare
- **Limitation:** Slower modernization
- **6. Akshaya Seva Trust (Third Sector NGO)**
- Conducted **free health awareness camps in slums**.
- Used funds from donations and corporate CSR partnerships.

Differences and similarities between them

- **Strength:** Focus on service to vulnerable communities
- **Limitation:** Depends on external funding for continuity
- Similarities Observed in All

Similarity	Explanation
They worked toward improving healthcare	Despite different motives, each contributed to solving the community health challenge.
They required organized structures and staff	All needed doctors, nurses, administrators, equipment and procedures.
They followed legal guidelines	Each had registration, compliance, and reporting responsibilities.

Differences and similarities between them

- Differences Observed

Organisation Type	Primary Purpose	Ownership	Decision-Making	Profit Use
Private Ltd	Profit + Owner Control	Family/Group	Fast, internal	Shared among members
Public Ltd	Large Profit & Expansion	Public Shareholders	Formal, regulated	Distributed as dividends
Franchise	Profit + Use of Brand	Franchisee	Limited by franchisor rules	Retained after royalties
MNC	Global Market Presence	Global Shareholders	Controlled by HQ	Used for global expansion
Public Sector	Public Welfare	Government	Bureaucratic	Reinvested for welfare
NGO	Social Service	Trustees/Volunteers	Mission-driven	Reinvested into cause

Differences and similarities between them

- **Conclusion of Case Study**
- The healthcare project succeeded because **each organisation played to its strengths**:
- Private Ltd company → **quick services**
- Public Ltd company → **large infrastructure**
- Franchise → **local accessibility**
- MNC → **advanced medical technology**
- Public Sector → **affordability and reach**
- NGO → **community outreach and inclusion**
- This case shows that **organisations differ in purpose, ownership, and control**, but they can **work together effectively** to achieve **a common societal goal**.

Activity: Mapping local or global examples into each category

- **Activity: Mapping Local or Global Organisations into Each Category**
- **Objective:**
- To identify **real-world organisations** and classify them into **six organisational types** by understanding their **ownership**, **purpose**, and **structure**.
- **Instructions for Students**
- Think of **businesses/organisations you know** in your **local area**, your **city**, or well-known **global brands**.
- Identify which organisational **category** they belong to.
- Fill in the table with:
  - **Name of the organisation**
  - **Local or Global**
  - **Main Purpose**
  - **Why it fits that category**

Activity: Mapping local or global examples into each category

- Activity Table

Organisation Type	Example Name	Local / Global	Purpose	Reason
Private Limited Company	*MedPlus Health Services Pvt. Ltd.*	Local (India)	Profit	Owned by limited shareholders, not traded publicly
Public Limited Company	*Tata Steel Ltd.*	Global presence	Profit + Expansion	Shares traded on stock exchange; board-controlled
Franchise	*Domino's Pizza (JP Nagar Outlet)*	Local outlet of global brand	Profit	Local owner operates under Domino's brand system
MNC	*Samsung Electronics*	Global	Global Profit & Market Reach	Headquarters in South Korea, branches worldwide
Public Sector Organisation	*Indian Railways*	National	Public Service	Fully government-owned and operated for mass benefit
Third Sector (NGO)	*Akshaya Patra Foundation*	Local to Global operation	Social Welfare	Non-profit providing mid-day meals to students

Activity: Mapping local or global examples into each category

- ⭑ **Extension Task (Optional)**
- Choose **one** organisation from the table and write a **5–6 sentence explanation** describing:
- **What it does**
- **Who controls it**
- **Whom it serves**
- **Why it belongs to that organisational category**
- 🎤 **Discussion Questions**
- Which type of organisation do you see most commonly in your area? Why?
- Why do NGOs play a different role compared to companies?
- How does ownership influence decision-making in these organisations?

Activity: Mapping local or global examples into each category

- **Case Study: Economic Development and Organisational Diversity in Mysuru City**
- Mysuru is a fast-growing city in Karnataka known for education, tourism, and manufacturing. The city hosts different types of organisations that serve **economic**, **social**, and **community** needs. By studying these organisations, we can understand how **ownership, purpose, and structure** shape their roles in society.
- Organisations Identified in Mysuru

Activity: Mapping local or global examples into each category

- Organisations Identified in Mysuru

Organisation Type	Example	Local / Global	Main Purpose
Private Limited Company	**Chamundeshwari Foods Pvt. Ltd.**	Local	Profit from packaged snacks production
Public Limited Company	**Infosys Ltd. (Mysuru Campus)**	Global presence	Profit through global IT services
Franchise Business	**KFC – Mysuru Mall Outlet**	Local outlet of global chain	Profit using a brand-owned business model
Multinational Corporation (MNC)**	**Nestlé India (Milk Processing Unit)**	Global	Sell dairy & food products across regions
Public Sector Organisation	**KSRTC – Mysuru Division**	Regional / Government owned	Public transportation service
Third Sector Organisation (NGO)**	**Swami Vivekananda Youth Movement (SVYM)**	Local NGO with national reach	Social development in health & education

Activity: Mapping local or global examples into each category

- **Explanation of Each Organisation in the Case Study**
- **1. Chamundeshwari Foods Pvt. Ltd. (Private Limited Company)**
- A small **family-owned snack manufacturing unit** that sells products across Karnataka.
  Ownership is limited to family shareholders, and decisions are made internally.
  This organisation **fits the Private Ltd category** because:
- Shares are **not traded publicly**
- Ownership and control remain in a **close group**
- Aim is **profit with quick decision-making**
- **2. Infosys Ltd. (Public Limited Company)**
- Infosys operates a **large training campus** in Mysuru.
  It is **listed on stock exchanges** and owned by thousands of shareholders.
  It **fits Public Limited Company** because:

Activity: Mapping local or global examples into each category

- Shares are **publicly traded**
- A **Board of Directors** governs operations
- It operates on a **large scale** globally
- **3. KFC – Mysuru Mall Outlet (Franchise Business)**
- This outlet is owned by a **local entrepreneur**, but follows **KFC's brand rules**, menu, and service model.
  It **fits the Franchise structure** because:
- The brand **belongs to KFC Global**
- The outlet owner (**franchisee**) pays **royalty fees**
- The business **must follow strict operational standards**
- **4. Nestlé India (MNC – Multinational Corporation)**
- Nestlé operates globally, with a processing unit supplying dairy and food products to different parts of India.
  It **fits MNC category** because:

Activity: Mapping local or global examples into each category

- Headquarters are in **Switzerland**
- Operations run in **multiple countries**
- Strategy is **global**, but products are adapted **locally** (e.g., Indian-flavored noodles)
- **5. KSRTC – Mysuru (Public Sector Organisation)**
- KSRTC buses connect Mysuru to nearby towns and villages at affordable fares.
  It **fits Public Sector** because:
- Owned and funded by **Government of Karnataka**
- Purpose is **public service**, not profit
- Decisions follow **government procedures**
- **6. Swami Vivekananda Youth Movement – SVYM (Third Sector / NGO)**
- SVYM runs **schools, hospitals, and tribal support programs** in rural Mysuru and H.D. Kote.
  It **fits the Third Sector organisation** because:

Activity: Mapping local or global examples into each category

- It works for **social welfare**, not profit
- Funded by **donations, volunteers, grants**
- Surplus is **reinvested** into community programs
- **Conclusion of Case Study**
- This case study shows how **different organisational structures serve different roles** in society:
- **Private and Public companies** contribute to **economic growth and employment.**
- **Franchises** improve consumer choice and expand brand presence.
- **MNCs** bring **technology, investment, and global standards.**
- **Public Sector organisations** ensure **essential services reach everyone.**
- **Third Sector organisations** work for **social upliftment and community development.**
- Together, they create a **balanced and functioning economy**.

Conclusion to Types of Organisations

- **Conclusion**
- The existence of different types of organisations is essential for the balanced growth of an economy and the functioning of society. Each type of organisation is structured differently because it serves a **different purpose** and operates under **different ownership and control systems**.
- **Private Limited Companies** focus on **profit with close control**, making them suitable for small to medium enterprises where decision-making must be quick and flexible.
- **Public Limited Companies** are designed for **large-scale growth** with public investment, allowing them to expand operations widely but requiring transparency and accountability.
- **Franchise Businesses** help in **replicating successful business models** across regions, reducing business risk and providing employment at the local level.
- **Multinational Corporations (MNCs)** operate **across the globe**, bringing advanced technology, global business practices, and new market opportunities, while also adapting to local needs.
- **Public Sector Organisations** play a **vital role in welfare and national development**, offering essential services like transport, healthcare, and education that must remain accessible to all.

Conclusion to Types of Organisations

- **Third Sector Organisations (NGOs and Charities)** are crucial for promoting **compassion, inclusion, and social support**, addressing issues that neither government nor business can fully solve.
- Although these organisations differ in their **goals, ownership, and regulation**, they all operate through structured coordination of resources and people. **Profit-oriented organisations contribute to economic growth**, **public sector organisations provide basic infrastructure and services**, and **third sector organisations support social upliftment and welfare**.
- Together, they form a **complete and interconnected system**, ensuring that **economic progress, social well-being, and public development** occur simultaneously.
- **One-Line Summary**
- Different types of organisations complement each other—where one aims for profit, another ensures service and welfare—creating a balanced and sustainable society.

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Thank You

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